In the next phase, the NHB will compile indices for 35 cities/towns with a population of more than a million (as per the census 2001). These indices are planned to be prepared on a half-yearly basis, to be subsequently expanded to cover 63 cities/towns covered under the Jawaharlal Nehru National Urban Renewal Mission (JNNURM).

Service Price Index

The contribution of the tertiary sector in India's GDP has been strengthening for the past 6 to 7 years and today it stands approximately at 54 per cent. The need for a service price index (SPI) in India is warranted by the growing dominance of the sector in the economy.[69] There is no index, so far, to measure the price changes in the service sector. The present inflation (at the WPI) only shows the price movements of the commodity-producing sector i.e. it includes only the primary and the secondary sectors —the tertiary sector is not represented by it.

The need for such an index was recommended by the working Group (under the Chairmanship of Prof. Abhijit Sen, Member, P.C.) set up to revise the WPI (1993–94) series which was reiterated by the National Statistical Commission (headed by C. Rangarajan).The office of the Economic Adviser, Ministry of Commerce and Industry has been making an effort to develop sector-specific service price index for the country with the technical assistance being received under the World Bank Assisted Economic Reforms Projects (WBAERPs).At present, efforts are being made to develop service price indices for selected services initially on an experimental basis (covering road transport, railways, airways, business, trade, port, postal telecommunications, banking and insurance services only).

The basic studies of index construction are complete. Before formal launching of the index, the complete study is supposed to be discussed with academicians, practitioners and the users of the services. The need to construct a service price index for the economy was felt more after the *OECD-Eurosat Report of 2005* on the subject.[70]